Board of Education Work Session

2026-27 Finance Focus and Budget Development



PORTLAND
Public Schools

December 16, 2025

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

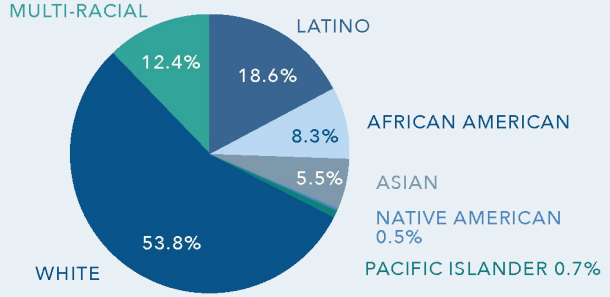
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630 STUDENTS IN DISTRICT SCHOOLS	794 STUDENTS IN COMUNITY BASED PROGRAMS	356 STUDENTS IN SPECIAL SERVICES PROGRAMS	1,306 STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate


PPS
TOGETHER,
WE RISE
WITH EXCELLENCE. WITH PURPOSE.

Finance Focus & Budget Work Session Topics

- New Monthly and Quarterly Financial Reports
- Annual Financial Report Status Update
- Follow up on Director information requests
- Work Session: Establish principles, policies, and priorities



New Monthly and Quarterly Financial Reports

- Current Month actuals year over year
- Budget and year-to-date
- Narrative and Graphics
- Quarterly Posted Online
- Contracts Component (under development)



Fourth quarter 2024-25, First Quarter 2025-26, September and October Monthly Reports

Annual Financial Report Status Update

- Federal Guidelines released late, under review by TKW
- ODE notification to extend reporting deadline
- ACFR presented to Audit Committee on January 15th and full Board on January 27th



State Revenue Forecast (11/19)

US Macro Forecast: Economic inflection point approaching

Recession risk is decreasing as growth forecasts rebound

- **GDP** slowing to 1.6% Q4/Q4 in 2025, firming to 1.9% in 2026
- **Inflation** pickup looking less severe at 3.0% (vs. 3.5% prior)
- **Unemployment** little changed (4.4% year-end)
- OEA recession estimate (25%)
- Tariff ruling from SCOTUS could provide sizeable economic impulse

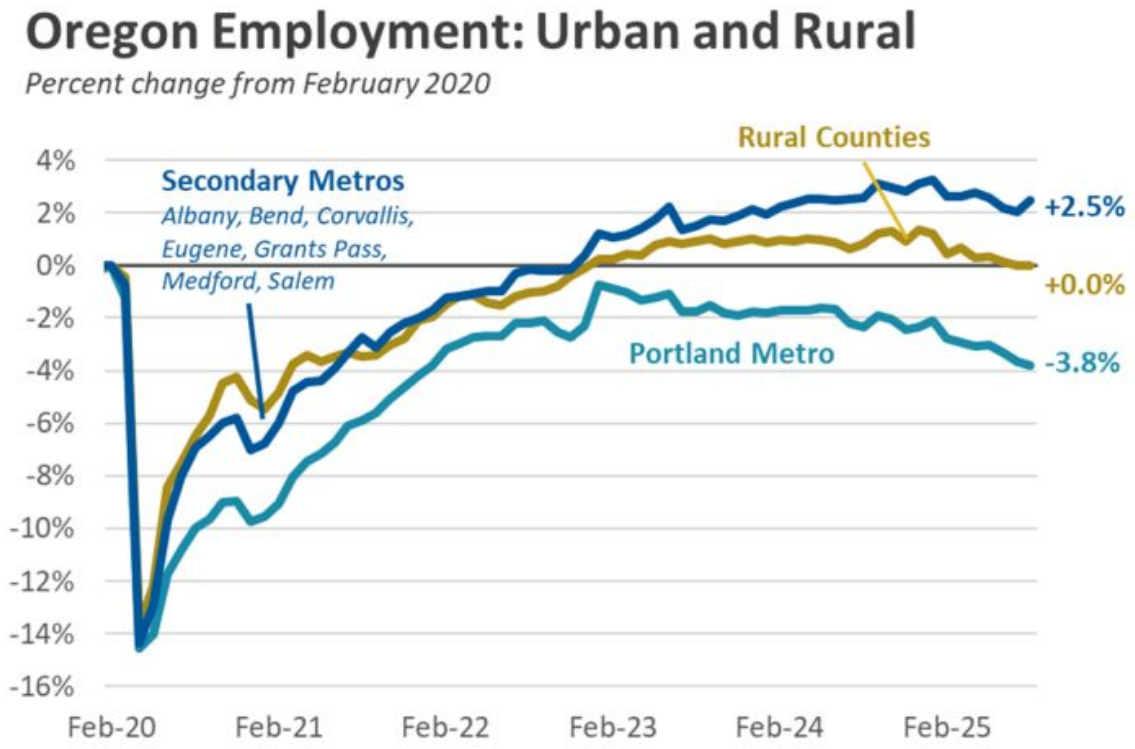
Missing Data Points

Delays in vital statistics due to federal government shutdown

Report	Source	Original Release Date
Construction Spending (Aug. and Sept.)	Census	10/1
Initial Jobless Claims (Wks ending 9/27 through 11/8)	Labor	Weekly
Factory Orders (Aug. and Sept.)	Census	10/2 & 11/4
Nonfarm Payrolls (Sept. and Oct.)	BLS	10/3 & 11/7
Trade Balance (Aug. and Sept.)	BEA	10/7 & 11/4
Wholesale Inventories (Aug. and Sept.)	Census	10/9 & 11/6
Retail Sales (Sept.)	Census	10/16
Producer Price Index (Sept.)	BLS	10/16
Business Inventories (Aug.)	Census	10/16
Housing Starts/Building Permits (Sept.)	Census	10/17
Import/Export Prices (Sept.)	BLS	10/17
Industrial Production (Sept.)	Federal Reserve	10/17
Leading Indicators (Sept.)	Conference Board	10/20
Chicago Fed NAI (Sept.)	Chicago Fed	10/23
Building Permits Revision (Sept.)	Census	10/24
New Home Sales (Sept.)	Census	10/24
Durable Goods Orders (Sept.)	Census	10/27
Advance Trade and Inventories (Sept.)	Census	10/29
GDP (Q3 Advance)	BEA	10/30
Personal Income/Core PCE (Sept.)	BEA	10/31
Employment Cost Index (Q3)	BLS	10/31
JOLTS (Sept.)	BLS	11/4
Productivity/Unit Labor Costs (Q3)	BLS	11/6
Monthly Treasury Statement	Treasury	11/12
Consumer Price Index (Oct.)	BLS	11/13

(Loss of) Jobs Creation- Portland Metro

Secondary Metros drive job creation



Missing Data Points

Income Tax Receipts improve balance

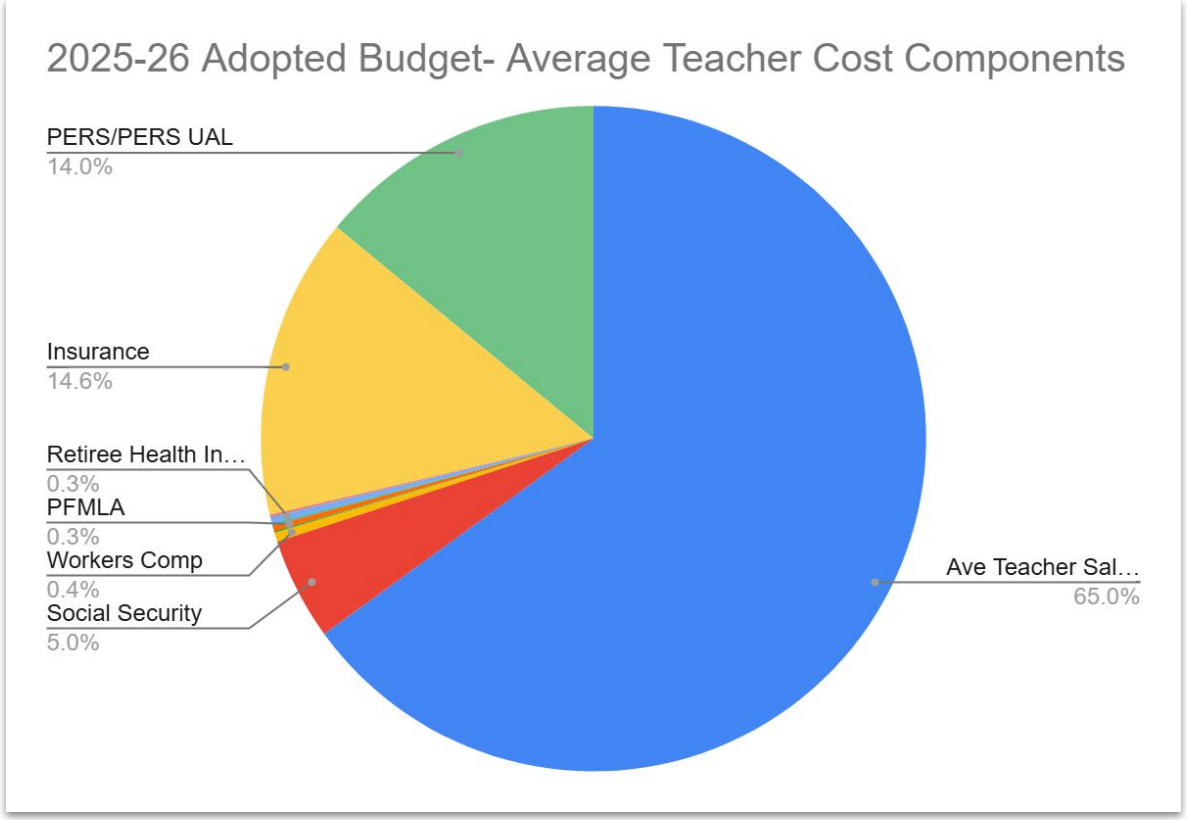
2025-27 General Fund Revenue Statement

		September 2025 Forecast	December 2025 Forecast	Change from Prior Forecast
Revenues (millions)				
	Personal Income Tax*	$29,892.5	$29,941.0	$48.5
	Corporate Income Tax*	$2,932.9	$3,199.8	$266.9
	All Other Revenues	$2,106.4	$2,100.5	-$5.8
Net General Fund		$34,931.8	$35,241.3	$309.5
Beginning Balance		$2,018.7	$2,018.7	$0.0
Appropriations		$37,323.1	$37,323.1	$0.0
Projected Ending Balance*		-$372.7	**-$63.1**	$309.5

* includes offsets and RDF transfers

- GF Revenues up $309.5 million.
  - Recent Corporate receipts
  - Mild economic upgrade
- Projected Ending Balance up $309.5 million to **-$63.1 million**

Board Information Requests



Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



Establish principles, policies, and priorities

TOGETHER, WE RISE

Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process
- ➔ Decisions should be driven by data
- ➔ Base resourcing decisions on cost-effectiveness
- ➔ Prioritize the Core Program in all schools
- ➔ Critically re-examine patterns of spending
- ➔ Provide every student with equitable access
- ➔ Take a long-term perspective
- ➔ Be transparent

Reserve Policy

The Board understands that to avoid financial instability, continuing expenditure requirements should be insulated from typical fluctuations in revenues and expenditures.

- ➔ It is the goal of the Board to fund and maintain a reserve in the general fund that shall range from **5% to 10% of annual general fund revenues.**
- ➔ Reserves generally should not be used for operating costs or staffing.
- ➔ Reserves are the fund balances carried over from year to year, and contingency funds are annually budgeted and reflected in current year fund balances.

Budget Priorities Discussion

Goals

Share insights about what areas are most important.

Share perspectives on the district's strengths and opportunities for improvement.



2025-26 Ideal Student Learning Actions

Consensus Based Upon Engagements

Ideal Student Learning Action 1

Students know and understand the learning target, success criteria, and why the learning matters *(IF 1.7, 4.6)*

Ideal Student Learning Action 2

Students successfully engage in grade-level and standards-aligned tasks with persistence and ask questions to clarify their understanding *(IF 1.6, 1.8, 1.9, 3.7, 3.8, 3.10)*

Ideal Student Learning Action 3

Students self-assess their learning and explain and justify their thinking connected to the learning target and success criteria *(IF 4.7, 4.9)*

Note: Other themes included a strong sense of belonging, making cultural connections, engaging in healthy relationships (IF 2.6-2.9, 3.9) - these were incorporated into strategies and actions to create the conditions for this to be true (Culture in the Classroom initiative integration).

District Continuous Improvement Plan:
Four Goal Areas



ATTENDANCE

LITERACY

MATH

9TH GRADE SUCCESS

Budget Engagement

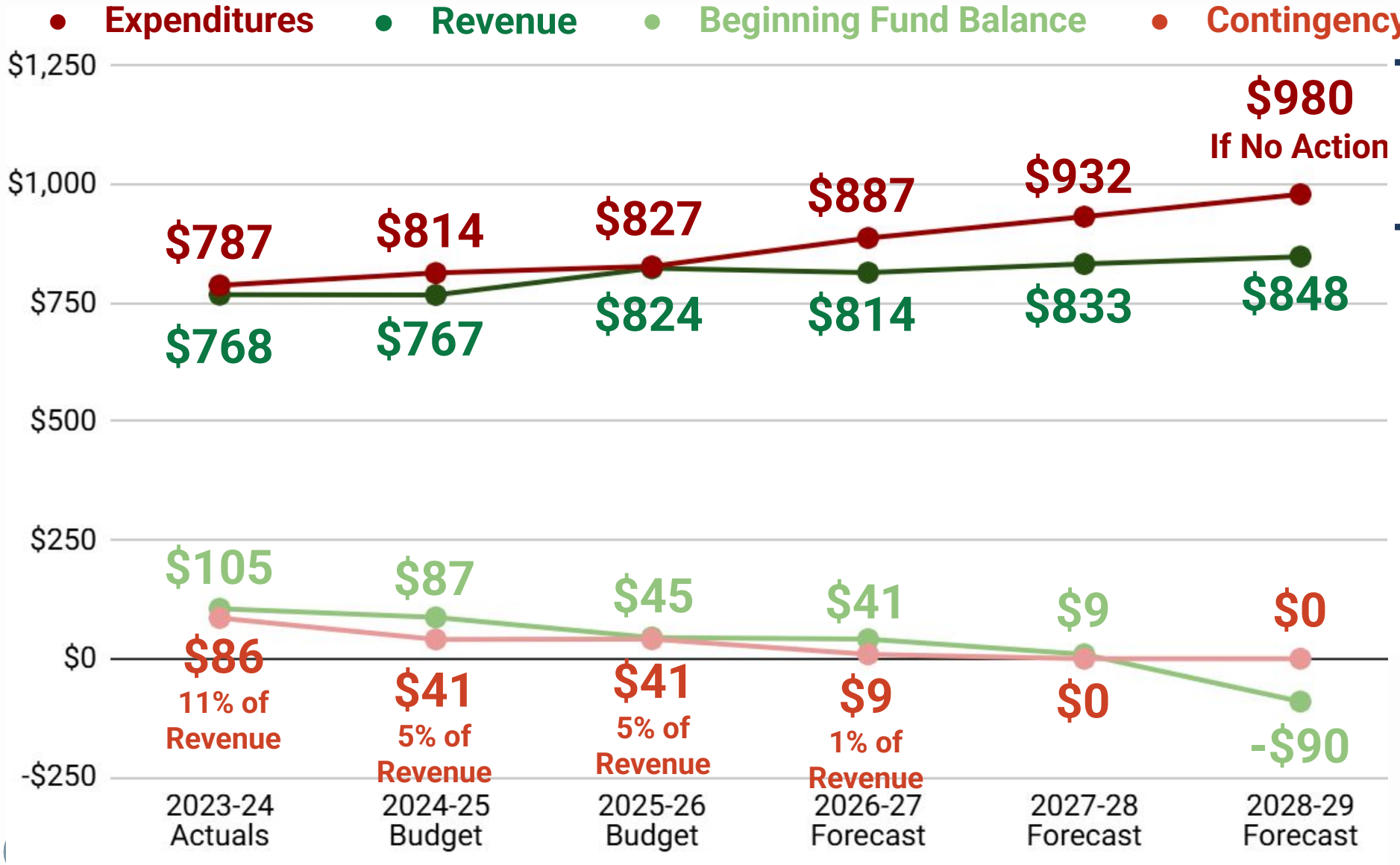
- Leadership Activities
  - Academic Program Review
  - Central Office Benchmarking
  - Information to Union Partners
- Community Awareness
  - Transparency Website and Video Series
  - Principal Toolkits under development



Questions?

Michelle Morrison
Chief Financial Officer
mimorrison@pps.net

2025-26 Projected General Fund (In Millions)

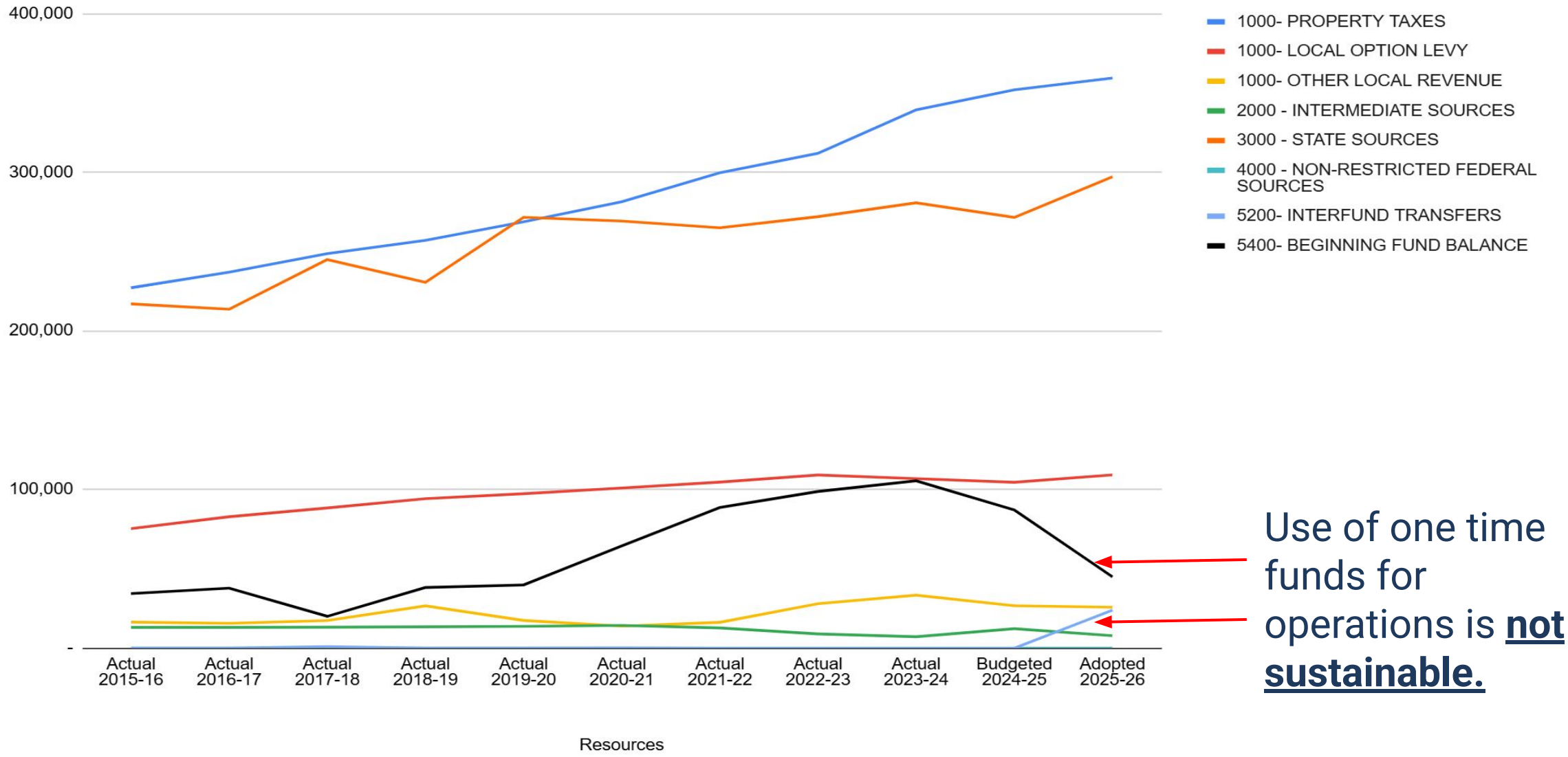


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

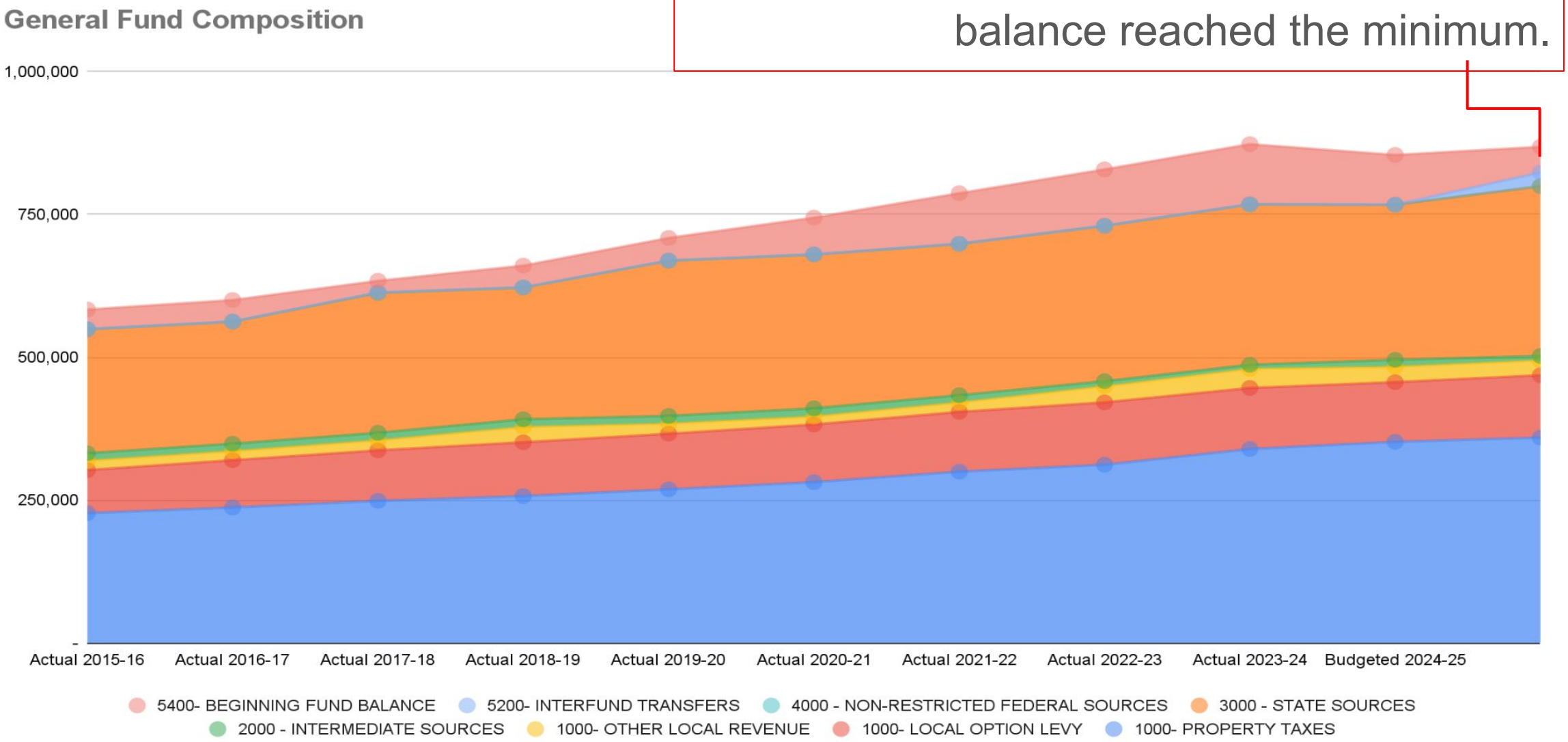
2015-16 to 2025-26 General Fund Revenue (In Thousands)



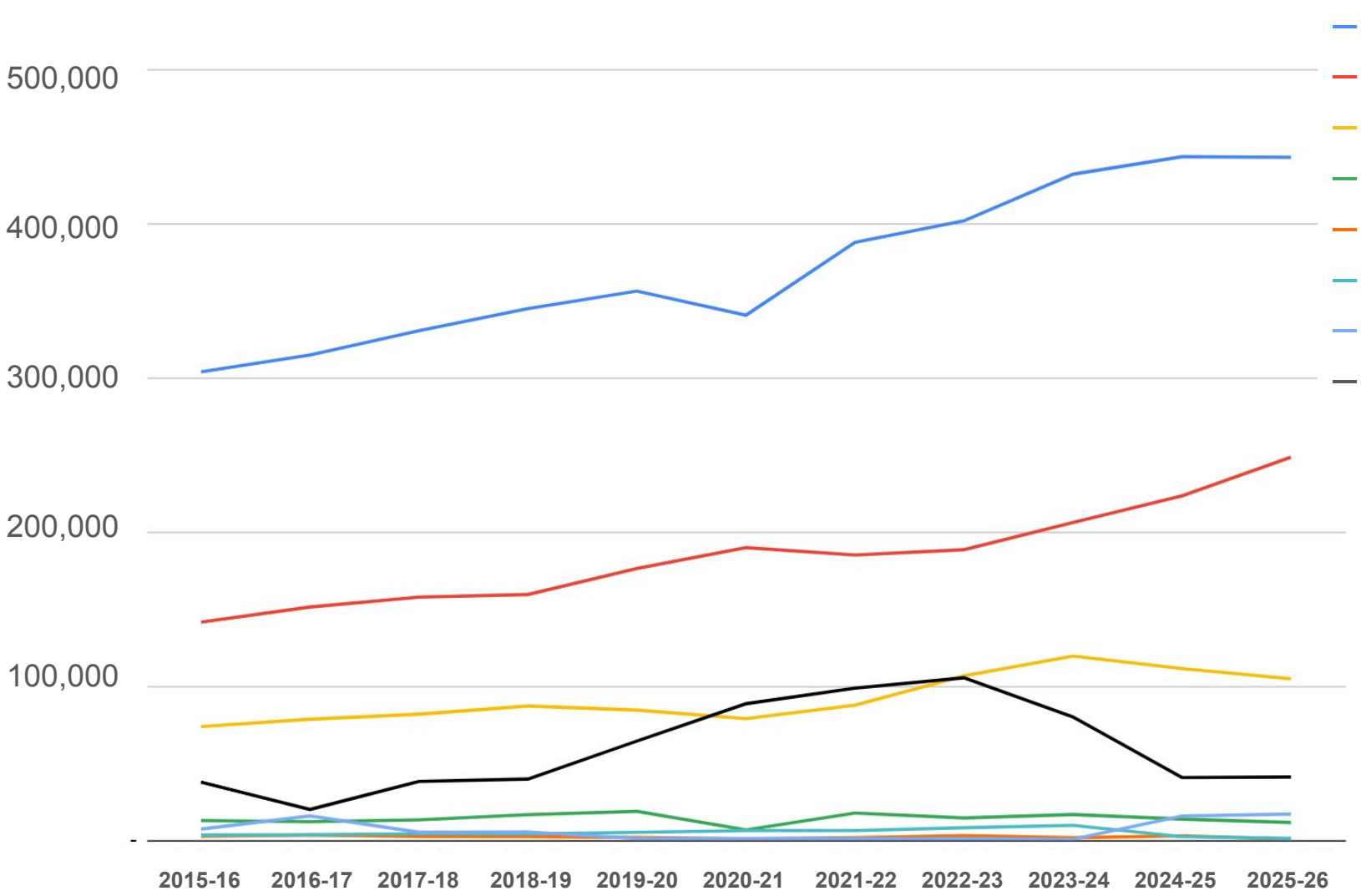
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

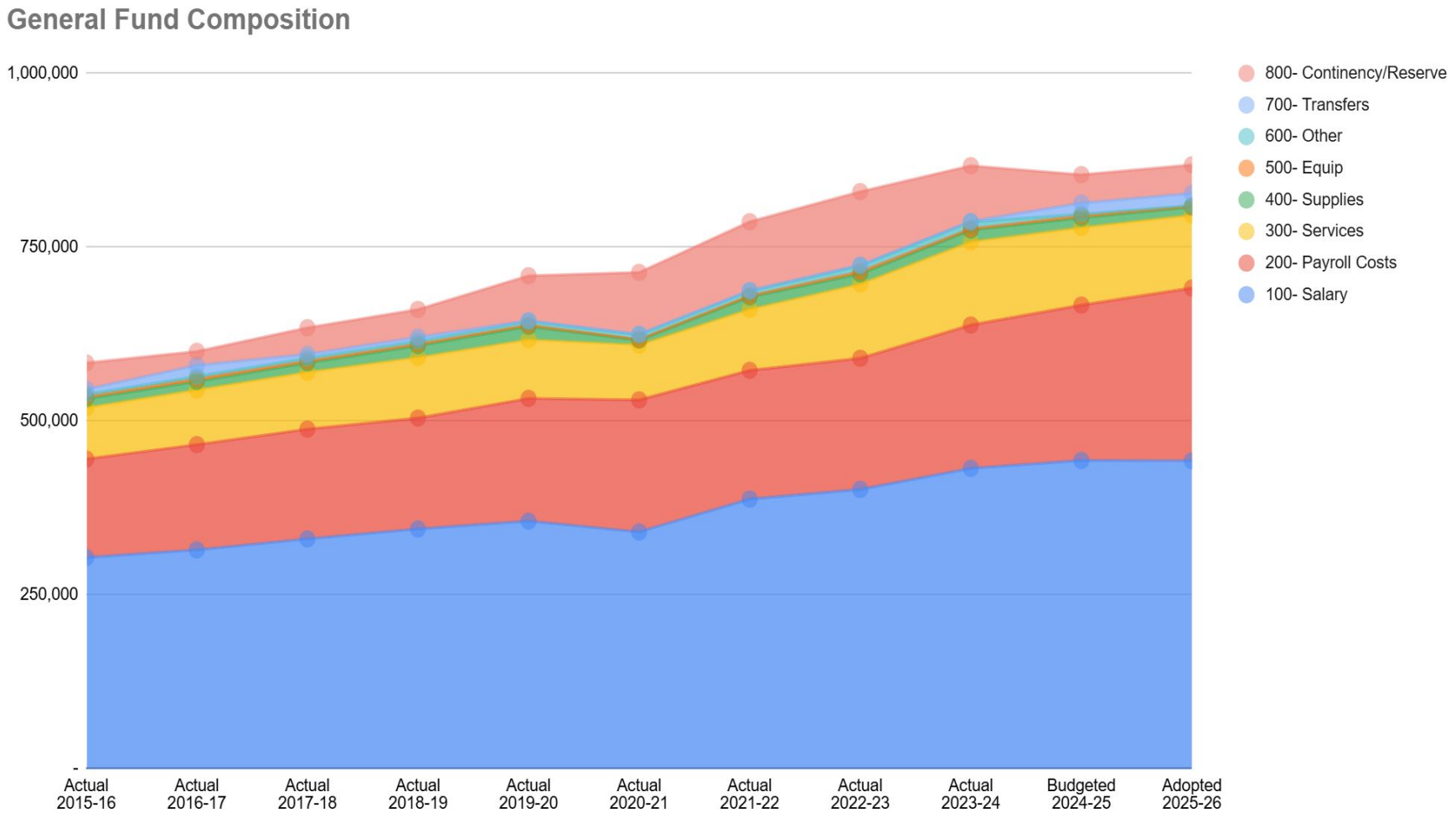


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts